

ServiceNow, Inc.

Recommendation **STRONG BUY** ★ ★ ★ ★ ★

Price USD 542.51 [as of market close Oct 20, 2023] 12-Mo. Target Price USD 680.00 Report Currency USD Investment Style Large-Cap Growth

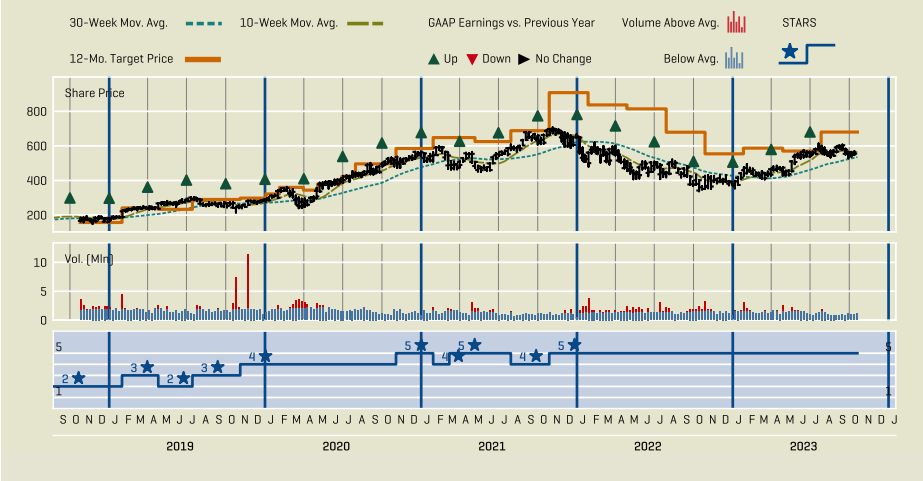
Equity Analyst Janice Quek

GICS Sector Information Technology Sub-Industry Systems Software Summary NOW is a provider of Software-as-a-Service [SaaS] applications used to manage and automate business processes and their constituent workflows.

Key Stock Statistics [Source: CFRA, S&P Global Market Intelligence [SPGMI], Company Reports]

52-Wk Range	USD 614.36 - 347.29	Oper.EPS2023E	USD 10.39	Market Capitalization[B]	USD 110.82	Beta	1.01
Trailing 12-Month EPS	USD 8.98	Oper.EPS2024E	USD 12.55	Yield [%]	N/A	3-yr Proj. EPS CAGR[%]	26
Trailing 12-Month P/E	60.41	P/E on Oper.EPS2023E	52.21	Dividend Rate/Share	N/A	SPGMI's Quality Ranking	B-
USD 10K Invested 5 Yrs Ago	30,624.0	Common Shares Outstg.[M]	204.00	Trailing 12-Month Dividend	N/A	Institutional Ownership [%]	90.0

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by Janice Quek on Oct 06, 2023 07:00 PM ET, when the stock traded at USD 563.43.

Highlights

- We estimate revenues growing 22%-23% in 2023 and 2024, fueled by durable enterprise demand for its platform that addresses multiple workflows [i.e., productivity, efficiency, cost takeouts, and/or business model transformation]. Net new ACV of \$1M+ clients has compounded solidly [Q2 2023: +30% Y/Y] with top-tier gross retention [2Q 2023: 99%], demonstrating the agility and stickiness of NOW's platform, as it has been able to retire a more traditional land-and-expand model in many cases and fill a more mission-critical role for customers much quicker. Current Revenue Performance Obligations [cRPO – subscription revs contracted but not yet recognized] continue to grow solidly [2Q 2023: +25%].
- NOW's business is largely recurring [95%+], allowing it to execute in many different economic climates; gross margin should hover around 81%-82% in 2023 and 2024, while adj. operating margin should step up from 25.7% in 2022, to 26%-27% in 2023 and 2024, as strong growth and expense discipline help realize incremental operating leverage.
- NOW's balance sheet is clean with no net debt [\$4.7B in cash/short-term investments and \$1.5B in long-term debt]. Excess FCF should total \$2.6B+ in 2023 and \$3.1B+ in 2024.

Investment Rationale/Risk

- Our Strong Buy rating is based on five pillars: 1) long-duration revenue growth driven by powerful secular trends like cloud migration and digital transformation; 2) strong, overlapping competitive advantages, including a growing eco-system of 3rd parties and partners on its recently overhauled platform; 3) inherent operating leverage and margin expansion potential of 30%+ in a bullish longer-term scenario; 4) pricing power – as NOW's apps digitize and automate workflows, they become deeply integral to operations, more valuable, and stickier to the customer; 5) open-ended potential beyond IT Services Management [ITSM – 57% of '22 revenue], with a recently launched "no-code" platform and work around generative AI through ITSM Pro over the past four years.
- Risks to our rating/target include steeper IT budget pressures than we currently anticipate, share loss from other formidable peers, and/or seat-based pricing compression resulting from ongoing technological advancements could also weigh on the stock.
- Our 12-month target of \$680, 54x our 2024 EPS estimate; the premium multiple is supported by NOW's above-average profitability and growth that is rivaled by few across the enterprise software space.

Analyst's Risk Assessment

LOW MEDIUM HIGH

Our risk assessment considers NOW's single and internally developed platform that boasts a comprehensive suite of applications [RPA, task mining, and generative AI, etc.] to help optimize company outcomes and help them operate at a high capacity. This is partly counterbalanced by a hyper-competitive environment and the potential for abrupt changes in client behaviors from economic volatility. We also note NOW's relatively short history of GAAP profitability and premium valuation that imply investor expectations remain high.

Revenue/Earnings Data

Revenue [Million USD]	1Q	2Q	3Q	4Q	Year
2025	--	--	--	--	E 13,112
2024	E 2,550	E 2,615	E 2,785	E 2,975	E 10,925
2023	2,096	2,150	E 2,285	E 2,420	E 8,951
2022	1,722	1,752	1,831	1,940	7,245
2021	1,360	1,409	1,512	1,614	5,896
2020	1,046	1,071	1,152	1,250	4,519

Earnings Per Share [USD]

	1Q	2Q	3Q	4Q	Year
2025	--	--	--	--	E 15.20
2024	E 2.90	E 2.90	E 3.20	E 3.55	E 12.55
2023	2.37	2.37	E 2.70	E 2.95	E 10.39
2022	1.73	1.62	1.96	2.28	7.59
2021	1.52	1.42	1.55	1.46	5.92
2020	1.05	1.23	1.21	1.17	4.63

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

No cash dividends have been paid in the last year.



ServiceNow, Inc.

Business Summary May 12, 2023

CORPORATE OVERVIEW. In the first 10 years from its 2003 founding, ServiceNow (NOW) used its Software-as-a-Service (SaaS) model to disrupt, take share, and emerge as #1 in Information Technology Services Management (ITSM) software. NOW followed the same path in ITSM that Salesforce.com, NetSuite, and Workday did in the Customer Relationship Management (CRM), Enterprise Resource Management (ERP), and Human Capital Management (HCM) application markets but with two key differences. First, during the '00s, ITSM was a relatively small, staid, slow-growth market with \$1.4b in 2010 revenue vs. \$33.7b and \$13.8b for ERP and CRM that year. Second, CRM, ERP, and HCM applications are designed as “systems of record” to manage the major functions common to most businesses and are organized around the most important element within each function: customers for CRM within sales/marketing, employees for HCM within HR, and credit/debit entries for ERP within finance and accounting. The most pressing requirement in ITSM was tracking and managing service request tickets generated within the IT department, often called “trouble tickets”, indicating the type of event that usually triggered ticket creation. From creation to resolution, these tickets follow a workflow, essentially a series of linked and time-stamped tasks triggered by an “event”, and that workflow is configured and tracked within an ITSM application.

NOW’s workflow orientation enabled it to address ticket tracking, ITSM’s key functional requirement. Founder Fred Luddy was quite familiar with ITSM and workflow orientation as the former CTO of Remedy Software and Peregrine Systems, both client-server era pioneers in ITSM acquired by BMC (2004) and HP (2005), respectively. From the start, Luddy believed this workflow orientation could go well beyond trouble ticket tracking for IT; it could address a much larger, generic “workflow opportunity” that would be inherently more difficult for the incumbent, more static, “system-of-record” enterprise applications to address. In order to set the company up for this bigger future opportunity, Luddy designed NOW’s software to be much more programmable than the competition so it could digitize and automate any workflow, IT-related or not.

However, greater programmability, along with the advantages of SaaS, also helped NOW take ITSM share because the application could: 1) tightly align with customers’ actual workflows [vs. the other way around]; 2) easily digitize and automate manual tasks within a workflow; 3) automatically trigger new workflows; and 4. integrate and exchange data with other applications. And, as Luddy envisioned, the programmability advantage quickly propelled NOW’s solution outside ITSM into other areas with well-defined workflows, such as HR [e.g., standard workflows triggered by a new hire]. In this way, NOW’s total addressable market was not limited to ITSM. Looking at it another way, NOW turned a niche segment [ticket tracking for IT] into a new, potentially much larger, more strategically ambitious application category using workflow as the organizing element vs. a customer record, an employee file, or, for that matter, “a box” of unrelated files.

MARKET PROFILE. We put the 2020 ITSM market at \$6.3b with NOW’s share at ~35%. We forecast 16% to 19% annual growth for ITSM, hitting ~\$10.5b in 2024 with NOW’s share at ~45%. Legacy competitors remain formidable, especially former ITSM market share leader BMC, recently acquired by private equity firm KKR. Private ownership can empower a company to make cuts and investments that produce ugly short-term results difficult to justify under public shareholder scrutiny, but that can pave the way for a quicker turnaround and accelerate growth long-term. The potentially much larger ex-ITSM opportunity – i.e., digitizing and automating any well-defined workflow – is still a bit fuzzy and not quite yet an application category of its own, but, in our view, it will be soon. We also see software cognition techniques such as machine/deep learning playing an increasing role in workflow digitization and automation. In fact, adding more data-trained cognition to workflow-based software may produce more tangible and rapid ROI than it would for more static, system-of-record application categories like ERP, CRM, and HCM. By 2025, we expect generic workflow digitization and automation to have emerged as a discrete enterprise application category with \$9b to \$12b in annual revenue.

FINANCIAL TRENDS. From FY 18 through FY 22, NOW’s trailing 3-year revenue CAGR is an impressive 28%, with fairly moderate deceleration to the low 20’s through ‘25. Our forecast assumes the following occurs through 2023: 1) ITSM growth decelerates to the low-to-mid teens; 2) NOW increases its ITSM share to ~45% from ~35% today; 3) Non-ITSM-related revenue, which contributed 50%+ to net new Annualized Contract Value (ACV) since ‘19, continues to grow at 30%+ as the value proposition for workflow digitization and automation takes off in areas outside of IT.

We forecast NOW to expand operating margin quite dramatically from 20% in FY 18 to 32% in FY 23 (with continued expansion beyond 35%) driven by three dynamics: 1) Continuing realization of the operating leverage inherent in the SaaS business, partially offset by NOW’s multi-instance implementation [vs. the single instance model employed by SaaS vendors in the more traditional “system of record” application categories], which requires somewhat more dedication of computing and memory resources per customer; 2) Given NOW’s skew toward larger enterprise customers, the fact that an increasing amount of revenue is coming from expansion within those customers vs. winning new customers, NOW should see a faster reduction in Sales & Marketing cost as a percentage of revenue than many of its SaaS peers; 3) Continued decline in money losing professional services [used to ensure a successful initial implementations with new large enterprise customers] as a percentage of revenue to ~3% in 2023 from 7% in FY 18 (down from 17% in FY 14), increasing gross margin to 84% in ‘23 from 80% in ‘18.

Corporate information

Investor contact
D. Yip (408 501 8550)

Office
2225 Lawson Lane, Santa Clara, California, 95054

Telephone
408 501 8550

Fax
N/A

Website
www.servicenow.com

Officers Senior VP, Corporate Controller & Chief Accounting Officer K. T. McBride	President & COO C. J. Desai
	General Counsel & Secretary R. S. Elmer
	Chief Financial Officer G. M. Mastantuono
CTO & EVP of Dev Ops P. Casey	
Chairman & CEO W. R. McDermott	

Board Members	
A. M. Sands	L. J. Jackson
D. Black	P. E. Chamberlain
F. B. Luddy	S. L. Bostrom
J. A. Miller	T. Briggs
J. C. Chadwick	W. R. McDermott
J. M. Quinlan	

Domicile Delaware	Auditor PricewaterhouseCoopers LLP
-----------------------------	---

Founded
2004

Employees
20,433

Stockholders
N/A



ServiceNow, Inc.

Quantitative Evaluations						
Fair Value Rank		1	2	3	4	5
		LOWEST		HIGHEST		
		Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).				
Fair Value Calculation	USD 476.84	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that NOW is overvalued by USD 65.67 or 12.10%				
Volatility		LOW	AVERAGE		HIGH	
Technical Evaluation	BULLISH	Since September, 2023, the technical indicators for NOW have been BULLISH"				
Insider Activity		UNFAVORABLE	NEUTRAL	FAVORABLE		

Expanded Ratio Analysis				
	2022	2021	2020	2019
Price/Sales	10.91	22.37	24.66	16.09
Price/EBITDA	100.29	180.90	208.32	189.39
Price/Pretax Income	198.06	529.63	743.00	831.04
P/E Ratio	51.16	NM	NM	85.04
Avg. Diluted Shares Outstg. [M]	203.54	203.17	202.48	197.22
Figures based on fiscal year-end price				
Key Growth Rates and Averages				
Past Growth Rate [%]		1 Year	3 Years	5 Years
Net Income		41.30	NM	22.70
Sales		22.88	27.93	30.44
Ratio Analysis (Annual Avg.)				
Net Margin [%]		4.49	3.67	5.62
% LT Debt to Capitalization		20.46	26.19	27.45
Return on Equity [%]		7.45	6.43	11.04

Company Financials Fiscal year ending Dec 31										
Per Share Data [USD]	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	19.60	13.18	12.46	9.64	4.78	3.23	1.42	2.91	2.13	2.71
Free Cash Flow	10.79	9.05	7.01	4.82	3.16	2.84	0.21	1.47	0.60	0.20
Earnings	1.60	1.13	0.59	3.18	-0.15	-0.68	-2.52	-1.27	-1.23	-0.54
Earnings [Normalized]	7.59	5.92	4.63	3.32	2.49	1.19	0.70	0.40	-0.07	-0.08
Dividends	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Payout Ratio [%]	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM
Prices: High	658.59	707.60	566.74	303.17	206.30	131.26	89.79	91.28	71.80	58.41
Prices: Low	337.00	448.27	238.93	168.47	130.14	74.63	46.00	62.55	44.17	25.54
P/E Ratio: High	86.80	NM	NM	91.30	82.80	NM	NM	NM	NM	NM
P/E Ratio: Low	44.40	75.70	51.60	50.70	52.30	62.70	65.70	NM	NM	NM
Income Statement Analysis [Million USD]										
Revenue	7,245	5,896	4,519	3,460	2,609	1,918	1,391	1,005	683.00	425.00
Operating Income	355.00	257.00	199.00	42.00	-42.00	-64.00	-111.00	-166.00	-151.00	-66.00
Depreciation + Amortization	433.00	472.00	336.00	252.00	150.00	114.00	83.00	60.00	42.00	24.00
Interest Expense	27.00	28.00	33.00	33.00	53.00	53.00	33.00	31.00	29.00	3.00
Pretax Income	399.00	249.00	150.00	67.00	-39.00	-113.00	-410.00	-193.00	-176.00	-71.00
Effective Tax Rate	18.50	7.60	20.70	-835.80	31.60	-3.00	-0.90	-2.80	-2.20	-3.50
Net Income	325.00	230.00	119.00	627.00	NM	NM	NM	NM	NM	NM
Net Income [Normalized]	249.40	157.50	123.10	41.90	NM	NM	NM	NM	NM	NM
Balance Sheet and Other Financial Data [Million USD]										
Cash	4,280	3,304	3,092	1,691	1,498	1,779	899.00	801.00	669.00	635.00
Current Assets	6,654	5,220	4,522	2,827	2,345	2,422	1,343	1,086	907.00	798.00
Total Assets	13,299	10,798	8,715	6,022	3,879	3,550	2,034	1,807	1,425	1,169
Current Liabilities	6,005	4,949	3,737	2,753	2,013	2,039	1,071	732.00	507.00	328.00
Long Term Debt	1,486	1,484	1,640	695.00	662.00	630.00	508.00	475.00	443.00	415.00
Total Capital	7,264	5,909	4,969	3,259	1,773	1,952	895.00	1,041	872.00	809.00
Capital Expenditures	550.00	392.00	419.00	265.00	224.00	151.00	106.00	87.00	54.00	55.00
Cash from Operations	2,723	2,191	1,786	1,236	811.00	643.00	159.00	318.00	141.00	82.00
Current Ratio	1.11	1.05	1.21	1.03	1.17	1.19	1.25	1.48	1.79	2.43
% Long Term Debt of Capitalization	20.50	25.10	33.00	21.30	37.30	32.30	56.80	45.60	50.80	51.30
% Net Income of Revenue	4.50	3.90	2.60	18.10	-1.00	-6.10	-29.80	-19.70	-26.30	-17.40
% Return on Assets	1.84	1.65	1.69	0.53	-0.71	-1.44	-3.62	-6.43	-7.26	-5.03
% Return on Equity	7.40	7.00	4.80	38.70	-2.80	-20.00	-86.90	-39.90	-43.60	-23.10

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Sub-Industry Outlook

CFRA has a positive fundamental outlook for the S&P 500 systems software sub-industry in the next 12 months, as we expect incremental improvement in the economic landscape, pent-up demand from postponed digital transformation projects, and growing interest in generative AI tools. Slower spending is still expected in the short term, as stubborn inflation [aggravated by recent spikes in energy prices] is giving the Fed some hesitation to loosen its hawkish monetary policy stance. Yet, we believe it is likely that we will still start to see rate cuts in 2024, giving businesses some relief from the pressures experienced over the last year.

Enterprise software spending remained constrained in Q2 as customers refrained from spending in less critical areas of the business, while continuing to whittle down redundancies. Consequently, cloud optimization behavior remained a headwind to growth, and cloud providers expect their customers to continue this process of optimizing their existing workloads and infrastructure use in Q3. However, we are encouraged that more companies have observed higher levels of stabilization to demand, and the likelihood that growth compression has “bottomed” is increasing.

Cybersecurity firms in the Systems Software sub-industry remained conservative with their outlook for the year, but highlighted improvements in the demand environment. We note pockets of outperformance during the quarter from strong execution, and a higher velocity of large deals and significant commitments from new customers, reflecting better-than-expected enterprise appetite for cybersecurity solutions. We think this is a positive set up for 2024 as budget challenges ease. As with the major cloud providers, we are cautiously optimistic that cybersecurity firms will start to see a headwinds-to-tailwinds shift when companies become more confident about ramping their security investments again.

The pace of generative AI developments across the technology ecosystem also supports our positive view of the sub-industry. Cloud providers

are increasing investments to build the necessary infrastructure for generative AI workloads, while launching a slew of applications and services. For example, Microsoft released Azure AI to allow developers to build and deploy their proprietary AI solutions, and announced Microsoft 365 Copilot to enhance productivity for its millions of users. Smaller software vendors have also started to launch generative-AI features. DevOps software provider Gitlab has made Code Suggestions available in beta to help developers shorten production time. These innovations underscore the growing importance and value offered by generative AI. While we are still in the early stages of adoption, we believe that market interest in generative AI will be sustained, driving new sources of revenue for the software industry. Consensus projections for the software industry align with what we believe are the drivers for growth in the near term. Software companies in the S&P 500 are expected to grow revenue at 9.8% in 2023, down from 12.7% in 2022. However, growth is forecasted to accelerate 11.8% in 2024 as organizations return to IT modernization projects and look to ways to invest in generative AI. Spending on generative AI can be costly, especially for cloud providers, and we expect some impact to earnings, offset by cost savings and efficiency gains in 2023.

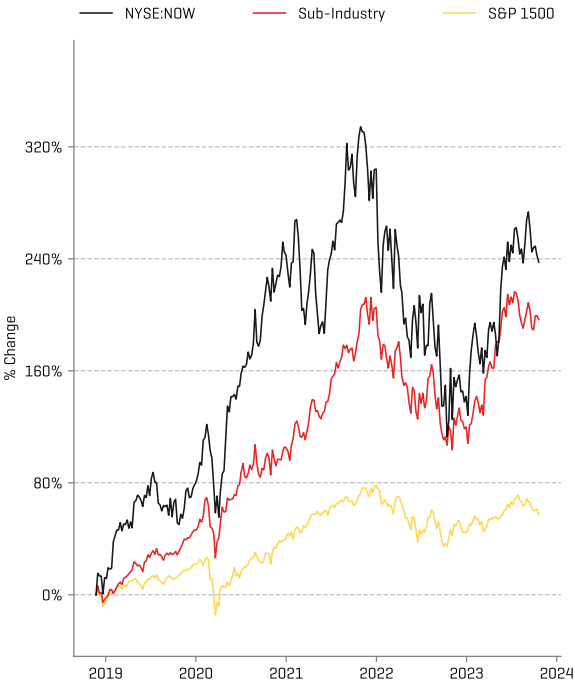
YTD through September 15, the systems software sub-industry increased 37.6%, while the S&P 1500 rose 15%.

/ Janice Quek

Industry Performance

GICS Sector: Information Technology
Sub-Industry: Systems Software

Based on S&P 1500 Indexes
Five-Year market price performance through Oct 21, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard [GICS].
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Systems Software Peer Group*: Systems Software												
Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
ServiceNow, Inc.	NOW	NYSE	USD	559.98	114,385.0	-2.2	57.6	62.0	476.84	N/A	25.6	16.3
Check Point Software Technologies Ltd.	CHKP	NasdaqGS	USD	135.50	15,853.0	-1.3	21.1	17.0	136.47	N/A	28.7	N/A
CrowdStrike Holdings, Inc.	CRWD	NasdaqGS	USD	184.52	44,061.0	11.5	21.0	85.0	N/A	N/A	-6.1	27.9
Dolby Laboratories, Inc.	DLB	NYSE	USD	80.41	7,691.0	-2.4	23.0	23.0	58.48	1.3	9.1	N/A
Fortinet, Inc.	FTNT	NasdaqGS	USD	57.77	45,369.0	-4.4	11.6	39.0	38.79	N/A	-3626.4	71.5
Gen Digital Inc.	GEN	NasdaqGS	USD	17.39	11,120.0	-8.5	-19.2	10.0	15.70	2.9	131.3	78.1
GitLab Inc.	GTLB	NasdaqGS	USD	46.73	7,229.0	-2.1	2.8	NM	N/A	N/A	-23.7	N/A
Palo Alto Networks, Inc.	PANW	NasdaqGS	USD	253.13	78,115.0	7.2	58.1	58.0	N/A	N/A	44.9	N/A
UiPath Inc.	PATH	NYSE	USD	16.04	9,090.0	-6.0	36.6	NM	N/A	N/A	-9.3	N/A
VMware, Inc.	VMW	NYSE	USD	150.31	64,902.0	-9.6	39.5	22.0	119.27	N/A	106.1	67.6
Zscaler, Inc.	ZS	NasdaqGS	USD	169.07	24,882.0	9.0	13.6	95.0	N/A	N/A	-31.2	58.4

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

ServiceNow, Inc.

Analyst Research Notes and other Company News

July 27, 2023

08:20 AM ET... CFRA Keeps Strong Buy Opinion on Shares of ServiceNow, Inc. [NOW 574.00*****]:

NOW posted solid Q2 results, increased guidance for subscription revenue and operating margin, and announced a slate of products with generative AI capabilities, all in the face of a tough IT spending environment. Yet, the shares are trading slightly lower in pre-market trading, likely because investors are disappointed with the Q3 current revenue performance obligation [cRPO] guide [+21.5% Y/Y in constant currency], albeit against high expectations. Investors should be patient, as NOW's customer pipeline looks strong, noting over \$3 billion in pipeline attended the Knowledge 2023 conference in May. NOW's generative AI portfolio stands to benefit once the broader macro environment improves and enterprises increase their IT spending budgets. We lift our 12-month target to \$680 from \$570, 54x our 2024 EPS of \$12.55 [up from \$12.10; 2023 up to \$10.39 from \$9.60; 2025 up to \$15.20 from \$14.70] and a justified premium to peers. Q2 revenue of \$2.15B [+23% Y/Y] beat by \$21M; EPS of \$2.37 [+46%] beat by \$0.32. / Arun Sundaram, CFA, CPA

May 18, 2023

01:02 AM ET... CFRA Keeps Strong Buy Rating on Shares of ServiceNow, Inc. [NOW 492.92*****]:

NOW recently held its Analyst Day that was well-received and solidly anchored around: 1) rich opportunities to further scale its IT Service Management [ITSM] platform across industry domains, customer segments, and specific workflows to achieve \$15B+ in subscription revenues by 2026, 2) a first-ever repurchase plan, emphasizing its profitable growth profile and a refined focus on shareholder value that also helps suppress any future dilution from stock-based compensation [SBC], and 3) tangible prospects related to generative AI that included live demos [i.e., Now assist], mechanics around its sales motions, and its future monetization strategy. Our sense is NOW's track record and ability to increase attach rates on products to drive higher pricing [+25% cited with ITSM Pro+] is being underestimated, and helps refute some of the bearish narrative around its exposure to seat-based models – we remain bullish on shares and believe solid annual contract value [ACV] growth and operating leverage are in store. / David Holt

April 28, 2023

02:01 AM ET... CFRA Keeps Strong Buy Rating on Shares of ServiceNow, Inc. [NOW 454.34*****]:

NOW posted solid 1Q23 results, with subscription revenues [+24%] and current revenue performance obligations [cRPO: +22%] that surpassed internal expectations. However, the magnitude of increase to its 2023 subscription growth target [23.5% vs. 23% prior] had a mixed reception, given it reflected the current economic climate, and kept shares in a holding pattern after the print; there could be an element of conservatism factored into outyear figures, especially given recent deal flow [clients with >\$1M in ACV: +20% Y/Y] that lead to estimate upside if more bullish scenarios emerge. NOW's Analyst Day on May 16 could be a future catalyst, as it details its growth strategy and push into generative AI. Q1 revenue of \$2.1B [+22%] beat consensus by \$11M; EPS of \$2.37 [+37%] beat by \$0.33. Our 12-month target of \$570 [from \$587], 47.1x our 2024 EPS estimate, is supported by its natively developed and differentiated platform. We also lift our '23 EPS estimate to \$9.60 from \$9.46 and '24's EPS to \$12.10 from \$12.02. / David Holt

January 26, 2023

12:44 PM ET... CFRA Maintains Strong Buy Rating on Shares of ServiceNow, Inc. [NOW 452.56*****]:

We raise our target by \$33 to \$587 based on: 1) strong 4Q22 results given the macro situation, especially on the bottom line, with EPS of \$2.28 beating consensus by \$0.26 and our forecast by \$0.09; 2) 22% Y/Y growth in subscription revenue [96% of total revenue], matching 3Q growth, anchored by NOW's very consistent 98% renewal rate, indicative of the mission critical nature of NOW's apps and platform and customer stickiness; 3) 22% Y/Y growth for both current and total Remaining Performance Obligations [RPO], a leading indicator of subscription growth; 4) an impressive Y/Y expansion of operating margin of 550 bps to 28%. Our target is a product of our EPS forecast for '24 of \$12.02, now \$0.59 lower and rolled forward from '23, and a 48.8x P/E [6-month mean, +5% due to competitive strength and customer stickiness]. 4Q revenue of \$1.94B, +20% Y/Y, matched consensus; EPS of \$2.28 was up 56% Y/Y and beat by \$0.26. We cut our EPS forecast for '23 by \$0.07 to \$9.46 and initiate '25 at \$14.70. / John Freeman

October 28, 2022

12:41 AM ET... CFRA Maintains Strong Buy on Shares of ServiceNow, Inc. [NOW 415.67*****]:

We cut our target by \$125 to \$554 due to: 1) solid 3Q22 results given the macro situation, with 21% Y/Y revenue growth, another significant Q/Q deceleration from 24% in 2Q and 27% in 1Q; 2) large FX impact, ~7% headwind to revenue growth and 8% to what was 17% Y/Y growth in Remaining Performance Obligations [RPO], a leading indicator; 3) 26% operating margin, +50bps Y/Y, impressive given the slowdown and a good sign NOW can weather this storm and expand profitability; 4) 98% renewal rate, indicative of the mission critical nature of NOW's apps and platform and customer stickiness; 5) attractive valuation with multiples at their lowest since the 2013 IPO. Our target is a product of our EPS forecast for '23 of \$9.53 [-\$0.22] and a 58.2x P/E [6-month mean, +5% due to competitive strength and customer stickiness]. 3Q revenue of \$1.83B, +21% Y/Y, missed consensus by \$21m; EPS of \$1.62, +27% Y/Y, beat by \$0.11. Our EPS forecast for '22 remains \$7.48 and we lower our forecast for '24 by \$0.30 to \$12.61. / John Freeman

July 29, 2022

01:48 PM ET... CFRA Maintains Strong Buy Rating on Shares of ServiceNow, Inc. [NOW 435.83*****]:

We lower our target \$135 to \$679 due to: 1) 2Q22 results with 24% Y/Y revenue growth, ~2% lower than we expected and a significant Q/Q deceleration from 27% in 1Q; 2) lower subscription revenue [~95% of total] guidance for '22, now at 24% Y/Y growth vs. 26% before, but with a reiterated long-term goal of \$16b in revenue by 2026; 3) 23% operating margin, -200 bps Y/Y; 4) a 99% renewal rate, vs. 98% in 1Q, a good indication of the mission critical nature of NOW's apps and platform as well as customer stickiness; 5) historically attractive valuation with multiples at their lowest since the NOW's 2013 IPO. Our target is a product of our '23 EPS forecast of \$9.75, now \$0.38 lower, and a 69.6x P/E [6-month mean, vs. a 3-year mean previously, +5% due to competitive strength and customer stickiness]. 2Q revenue of \$1.75B, +24% Y/Y, missed consensus by \$11m, NOW's second revenue miss ever; EPS of \$1.62, +14% Y/Y, beat by \$0.07. We also lower our EPS forecasts for '22 by \$0.08 to \$7.48 and for '24 by \$0.86 to \$12.91. / John Freeman

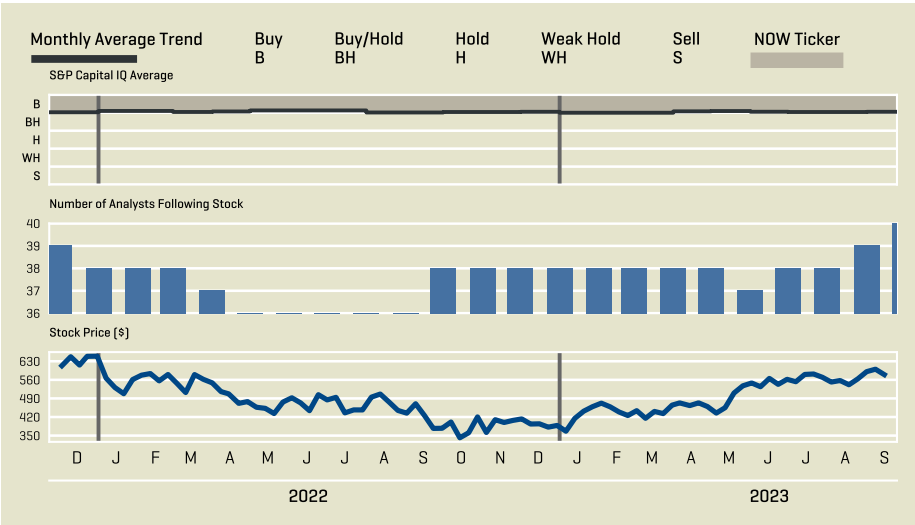
April 28, 2022

06:17 PM ET... CFRA Maintains Strong Buy on Shares of ServiceNow, Inc. [NOW 458.25*****]:

We trim our target by \$23 to \$814 based on: 1) solid 1Q22 results, with 27% Y/Y revenue growth and 29% Y/Y growth in current [next 12 months] RPO [Remaining Performance Obligation, contracted but unrecognized revenue, a leading indicator of subscription growth] and 30% for total RPO; 2) 25% operating margin, flat Y/Y, +200bps Q/Q, as expected; 3) once again, a strong 98% renewal rate. Our target is a product of our \$10.13 EPS forecast for '23 [unchanged] and an 80.3x P/E [3-year mean, +3% due to competitive strength and customer stickiness with 97%+ renewal rates]. 1Q revenue of \$1.72B, +27% Y/Y, beat consensus by \$23M; EPS of \$1.71, +13% Y/Y, beat by \$0.03. We also lower our EPS forecast for '22 by \$0.16 to \$7.56, but we raise our forecast for '24 by \$0.62 to \$13.77. One especially positive 1Q indicator: net new annual contract value [ACV] for \$1m+ ACV customers [~70% of total] grew 41% Y/Y. CEO Bill McDermott seems increasingly confident and effusive about the business – about 8.7 on the Benioff Scale. / John Freeman

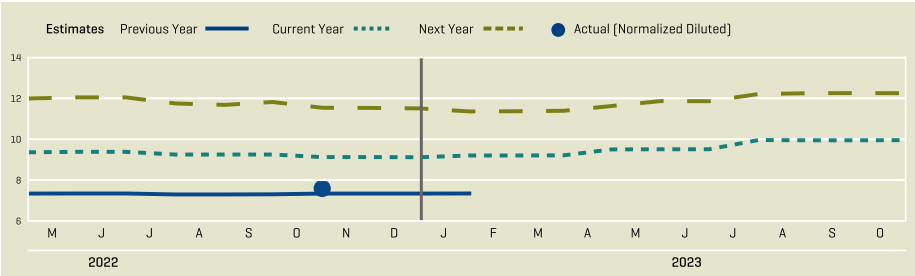
Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	26	65	25	24
Buy/Hold	9	23	9	9
Hold	4	10	4	4
Weak hold	0	0	0	0
Sell	0	0	0	0
No Opinion	1	3	1	1
Total	40	100	39	38

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	12.25	13.62	11.50	37	45.71
2023	9.95	10.30	9.37	37	56.26
2024 vs. 2023	▲ 23%	▲ 32%	▲ 23%	N/A%	▼ -19%
Q3'24	3.17	3.52	2.97	23	176.39
Q3'23	2.55	2.69	2.30	34	219.66
Q3'24 vs. Q3'23	▲ 25%	▲ 31%	▲ 29%	▼ -32%	▼ -20%

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Wall Street Consensus Opinion

Buy

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that NOW will earn USD 9.95. For fiscal year 2024, analysts estimate that NOW's earnings per share will grow by 23.07% to USD 12.25.

ServiceNow, Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



ServiceNow, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

STARS Stock Reports and Quantitative Stock Reports:

The methodologies used in STARS Stock Reports and Quantitative Stock Reports [collectively, the "Research Reports"] reflect different criteria, assumptions and analytical methods and may have differing rankings. The methodologies and data used to generate the different types of Research Reports are believed by the author and distributor reasonable and appropriate. Generally, CFRA does not generate reports with different ranking methodologies for the same issuer. However, in the event that different methodologies or data are used on the analysis of an issuer, the methodologies may lead to different views on the issuer, which may at times result in contradicting assessments of an issuer. CFRA reserves the right to alter, replace or vary models, methodologies or assumptions from time to time and without notice to clients.

STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

Analyst Certification:

STARS Stock Reports are prepared by the equity research analysts of CFRA and its affiliates and subsidiaries. Quantitative Stock Reports are prepared by CFRA. All of the views expressed in STARS Stock Reports accurately reflect the research analyst's personal views regarding any and all of the subject securities or issuers; all of the views expressed in the Quantitative Stock Reports accurately reflect the output of CFRA's algorithms and programs. Analysts generally update STARS Stock Reports at least four times each year. Quantitative Stock Reports are generally updated weekly. No part of analysts' or CFRA's compensation was, is, or will be directly or indirectly related to the specific rankings or views expressed in any Stock Report.

About CFRA Equity Research:

This Research Report is published and originally distributed by Accounting Research & Analytics, LLC d/b/a CFRA ["CFRA US"], with the following exceptions: In the UK/EU/EEA, it is published and originally distributed by CFRA UK Limited ["CFRA UK"], which is regulated by the Financial Conduct Authority [No. 775151], and in Malaysia by CFRA MY Sdn Bhd [Company No. 683377-A] ["CFRA Malaysia"], which is regulated by Securities Commission Malaysia, [No. CMSL/A0181/2007] under license from CFRA US. These parties and their subsidiaries maintain no responsibility for reports redistributed by third parties such as brokers or financial advisors.

General Disclosure

Notice to all jurisdictions:

Where Research Reports are made available in a language other than English and in the case of inconsistencies between the English and translated versions of a Research Report, the English version will control and supersede any ambiguities between such versions. Neither CFRA nor its affiliates guarantee the accuracy of any translation.

The content of this report and the opinions expressed herein are those of CFRA based upon publicly-available information that CFRA believes to be reliable and the opinions are subject to change without notice. This analysis has not been submitted to, nor received approval from, the United States Securities and Exchange Commission or any other regulatory body. CFRA AND ALL RELATED ENTITIES SPECIFICALLY DISCLAIM ALL WARRANTIES, EXPRESS OR IMPLIED, to the full extent permitted by law, regarding the accuracy, completeness, or usefulness of this information and assumes no liability with respect to the consequences of relying on this information for investment or other purposes.

No content in this Research Report may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of CFRA, or used for any unlawful or unauthorized purposes. Neither CFRA nor its third-party providers, as well as its/their directors, officers, shareholders, employees or agents, guarantee the accuracy, completeness, timeliness or availability of the content herein

Past performance is not necessarily indicative of future results.

This document may contain forward-looking statements or forecasts; such forecasts are

not a reliable indicator of future performance.

This report is not intended to, and does not, constitute an offer or solicitation to buy and sell securities or engage in any investment activity. This report is for informational purposes only. Statements in this report are not made with respect to any particular investor or type of investor. Securities, financial instruments or strategies mentioned herein may not be suitable for all investors and this material is not intended for any specific investor and does not take into account an investor's particular investment objectives, financial situations or needs. Before acting on anything in this report, you should consider whether it is suitable for your particular circumstances and, if necessary, seek professional advice. CFRA may license certain intellectual property or provide services to, or otherwise have a business relationship with, certain issuers of securities that are the subject of CFRA research reports, including exchange-traded investments whose investment objective is to substantially replicate the returns of a proprietary index of CFRA. In cases where CFRA is paid fees that are tied to the amount of assets invested in a fund or the volume of trading activity in a fund, investment in the fund may result in CFRA receiving compensation in addition to the subscription fees or other compensation for services rendered by CFRA, however, no part of CFRA's compensation for services is tied to any particular viewpoint or rating. Additional information on a subject company may be available upon request.

CFRA's financial data provider is S&P Global Market Intelligence. THIS DOCUMENT CONTAINS COPYRIGHTED AND TRADE SECRET MATERIAL DISTRIBUTED UNDER LICENSE FROM S&P GLOBAL MARKET INTELLIGENCE. FOR RECIPIENT'S INTERNAL USE ONLY.

The Global Industry Classification Standard [GICS®] was developed by and/or is the exclusive property of MSCI, Inc. and S&P Global Market Intelligence. GICS is a service mark of MSCI and S&P Global Market Intelligence and has been licensed for use by CFRA.

Other Disclaimers and Notices

Certain information in this report is provided by S&P Global, Inc. and/or its affiliates and subsidiaries [collectively "S&P Global"]. Such information is subject to the following disclaimers and notices: "Copyright © 2018, S&P Global Market Intelligence [and its affiliates as applicable]. All rights reserved. Nothing contained herein is investment advice and a reference to a particular investment or security, a credit rating or any observation concerning a security or investment provided by S&P Global is not a recommendation to buy, sell or hold such investment or security or make any other investment decisions. This may contain information obtained from third parties, including ratings from credit ratings agencies. Reproduction and distribution of S&P Global's information and third party content in any form is prohibited except with the prior written permission of S&P Global or the related third party, as applicable. Neither S&P Global nor its third party providers guarantee the accuracy, completeness, timeliness or availability of any information, including ratings, and are not responsible for any errors or omissions [negligent or otherwise], regardless of the cause, or for the results obtained from the use of such information or content. S&P GLOBAL AND ITS THIRD PARTY CONTENT PROVIDERS GIVE NO EXPRESS OR IMPLIED WARRANTIES, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE AND ALL S&P INFORMATION IS PROVIDED ON AN AS-IS BASIS. S&P GLOBAL AND ITS THIRD PARTY CONTENT PROVIDERS SHALL NOT BE LIABLE FOR ANY DIRECT, INDIRECT, INCIDENTAL, EXEMPLARY, COMPENSATORY, PUNITIVE, SPECIAL OR CONSEQUENTIAL DAMAGES, COSTS, EXPENSES, LEGAL FEES, OR LOSSES [INCLUDING LOST INCOME OR PROFITS AND OPPORTUNITY COSTS OR LOSSES CAUSED BY NEGLIGENCE] IN CONNECTION WITH ANY USE OF THEIR INFORMATION OR CONTENT, INCLUDING RATINGS. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase, hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice."

ServiceNow, Inc.

CFRA's Research Reports may be distributed in certain localities, countries and/or jurisdictions by independent third parties or independent intermediaries and/or distributors ("Intermediaries"). Intermediaries are not acting as agents or representatives of CFRA. In territories where an Intermediary distributes CFRA's Research Reports, the Intermediary, and not CFRA, is solely responsible for complying with all applicable regulations, laws, rules, circulars, codes and guidelines established by local and/or regional regulatory authorities, including laws in connection with the distribution of third party research reports, licensing requirements, supervisory and record keeping obligations that the Intermediary may have under the applicable laws and regulations of the territories where it distributes the Research Reports.

For residents of the European Union/European Economic Area:

Research reports are originally distributed by CFRA UK Limited (company number 08456139 registered in England & Wales with its registered office address at New Derwent House, 69-73 Theobalds Road, London, WC1X 8TA, United Kingdom). CFRA UK Limited is regulated by the UK Financial Conduct Authority (No. 775151).

For residents of Malaysia:

Research reports are originally produced and distributed by CFRA MY Sdn Bhd (Company No. 683377-A) ("CFRA Malaysia"), a wholly-owned subsidiary of CFRA US. CFRA Malaysia is regulated by Securities Commission Malaysia (License No. CMSL/A0181/2007).

For Recipients in Canada:

This report is not prepared subject to Canadian disclosure requirements and may not be suitable for Canadian investors.

For residents of Singapore:

This Research Report is distributed by CFRA UK Limited to its clients in Singapore who hold a financial advisers licence or is a person exempt from holding such licence ("SG Intermediary"). Recipients of this Research Report in Singapore should contact the SG Intermediary in respect to any matters arising from, or in connection with, the analysis in this report. Where the recipient is not an accredited, expert or institutional investor as defined by the Securities and Futures Act, the SG Intermediary accepts legal responsibility for the contents of this Research Report in accordance with applicable law. When reports are distributed by SG Intermediaries in Singapore, the SG Intermediary, and not CFRA, is solely responsible for ensuring that the recipients of the Research Reports understand the information contained in the Research Reports and that such information is suitable based on the customer's profile and investment objectives. This Research Report is intended for general circulation and no advice or recommendation is made herein or by CFRA to any particular person. CFRA does not assume any responsibility to advise on whether any particular product is suitable for any person, and the analysis herein does not take into account the specific investment objectives, financial situation or particular needs of any particular person, and should not be relied upon for any investment decision.

For residents of all other countries:

Research reports are originally distributed Accounting Research & Analytics, LLC d/b/a CFRA.

Copyright © 2023 CFRA. All rights reserved. CFRA and STARS are registered trademarks of CFRA.

EFG Disclaimer

The attached document is produced for it to be used by entities, including affiliates and branches, of EFG International AG. The information herein is provided on the basis that it is a suitable investment for the recipient taking into account the recipient's personal circumstances and should therefore be considered as a personal recommendation. Tax implications should be nevertheless independently assessed by the recipient with a tax advisor before entering into any transaction.

The information provided herein is for the exclusive use of the recipient and may not be reproduced, disclosed or distributed, neither in part nor in full.

Investment products may be subject to investment risks involving, but not limited to, possible loss of all or part of the principal invested.

The information and views expressed herein at the time of writing are subject to change at any time without notice and there is no obligation to update or remove outdated information. Historical data on the performance of the securities and financial instruments or the underlying assets in this document is no indication for future performance and the value of investments may fall as well as rise. This document is not directed at, or intended for distribution to or use by, any person or entity domiciled or resident in any jurisdiction where such distribution, publication, availability or use would be contrary to applicable laws or regulations of such jurisdictions.

EFG and its employees may engage in securities transactions, on a proprietary basis or otherwise and hold long or short positions with regard to the instruments identified herein; such transactions or positions may be inconsistent with the views expressed in the document.

If you have received this document from any affiliate or branch referred to below, please note the following:

Switzerland: EFG Bank AG, Zurich, including its Geneva and Lugano branches, is authorised and regulated by the FINMA. Registered Office: EFG Bank AG, Bleicherweg 8, 8001 Zurich, Switzerland. Registered Swiss Branches: EFG Bank SA, 24 quai du Seujet, 1211 Geneva 2, and EFG Bank SA, Via Magatti 2, 6900 Lugano.

The information provided in this document is not the result of a financial research conducted by the Bank's research department. Therefore, the "Directive on the Independence of Financial Research" issued by the Swiss Banking Association does not apply to it. As the document is not intended to be exhaustive on all risks related to financial instruments, the recipient should consult the specific product documentation and the June 2023 "Risks Involved in Trading Financial Instruments" brochure released by the Swiss Bankers Association and available on the Swiss Bankers Association website:

<https://www.swissbanking.org/en/services/library/guidelines> or free of charge from EFG Bank AG.

Luxembourg: EFG Bank (Luxembourg) S.A. is authorised by the Ministry of Finance Luxembourg and supervised by the Commission de Surveillance du Secteur Financier (CSSF). EFG Bank (Luxembourg) S.A. is Member of the Deposit Guarantee Fund Luxembourg (F.G.D.L. - Fonds de Garantie des Dépôts Luxembourg) and Member of the Luxembourg Investor Compensation Scheme (S.I.I.L. - Système d'Indemnisation des Investisseurs Luxembourg). R.C.S. Luxembourg no. B113375. Registered address: EFG Bank (Luxembourg) S.A. - 56, Grand-Rue, L-1660 Luxembourg.

Portugal: EFG Bank (Luxembourg) S.A. - Sucursal em Portugal is authorised and supervised by Banco de Portugal (register 280) and the CMVM, the Portuguese securities market commission, (register 393) for the provision of financial advisory and reception and transmission of orders. EFG Bank (Luxembourg) S.A. - Sucursal em Portugal is a non-booking branch of EFG Bank (Luxembourg) S.A., a public limited liability company incorporated under the laws of the Grand Duchy of Luxembourg, authorised and supervised by the CSSF (Commission de Surveillance du Secteur Financier). Lisbon Head Office: Avenida da Liberdade n.º 131 - 6º Dto., 1250 - 140 Lisboa. Porto agency: Avenida da Boavista, n.º 1837 - Escritório 6.2, 4100-133 Porto. Companies Registry Number: 980649439.

Greece: EFG Bank (Luxembourg) S.A., Athens Branch is an non-booking establishment of EFG Bank (Luxembourg) S.A. which is authorised to promote EFG Bank (Luxembourg) S.A.'s Greece: EFG Bank (Luxembourg) S.A., Athens Branch is an non-booking establishment of EFG Bank (Luxembourg) S.A. which is authorised to promote EFG Bank (Luxembourg) S.A.'s products and services based on the EU freedom of establishment pursuant to a license granted by the Luxembourg financial supervisory authority "CSSF". Registered address: 342 Kifisias Ave. & Ethnikis Antistaseos Str. - 154 51 N. Psychiko, General Commercial Registry no. 143057760001.

Liechtenstein: EFG Bank von Ernst AG is regulated by the Financial Market Authority Liechtenstein. Registered address: EFG Bank von Ernst AG Egertastrasse 10 - 9490 Vaduz, Liechtenstein.

Monaco: EFG Bank (Monaco) SAM is a Monegasque Public Limited Company with a company registration no. 90 S 02647 (Registre du Commerce et de l'Industrie de la Principauté de Monaco). EFG Bank (Monaco) SAM is a bank with financial activities authorised and regulated by the French Prudential Supervision and Resolution Authority and by the Monegasque Commission for the Control of Financial Activities. Registered address: EFG Bank (Monaco) SAM, Villa les Aigles, 15, avenue d'Ostende - BP 37 - 98001 Monaco (Principauté de Monaco), telephone: +377 93 15 11 11. The recipient of this document is perfectly fluent in English and waives the possibility to obtain a French version of this publication.

United Kingdom: EFG Private Bank Limited is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. EFG Private Bank Limited is a member of the London Stock Exchange. Registered company no. 2321802. Registered address: EFG Private Bank Limited, Park House, 116 Park Street, London W1K 6AP, United Kingdom, telephone +44 (0)20 7491 9111.

Dubai: EFG (Middle East) Limited is regulated by the DFSA. This material is intended "for professional clients only". Registered address: EFG (Middle East) Limited DIFC, Gate Precinct 5, 7th Floor PO Box 507245 - Dubai, UAE.